

SOVEREIGN SYSTEM SECTOR REPORT

Autonomous Mother Algorithm Performance Ledger & AI Advisory

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TARGET INSTRUMENT: R_75 Volatility Model

CORE PERFORMANCE METRICS

Total Settlements:	13938	Calculated Profit Factor:	11.13
Win Accuracy:	82.0% (11436W / 2502L)	Max Peak Drawdown:	12.9%
Cumulative PnL:	\$20159.70	Avg. PnL per Trade:	\$1.45

EQUITY CURVE PROGRESSION



PERFORMANCE MILESTONES (100-TRADE SEGMENTS)

SEGMENT	WIN RATE	NET PnL	REFINEMENT EFFICIENCY
Trades 1-2788	37.1%	\$-829.58	+30% [OK]
Trades 2789-5576	94.0%	\$3548.19	+113% [OK]
Trades 5577-8364	100.0%	\$5865.34	+120% [OK]
Trades 8365-11152	100.0%	\$8519.30	+120% [OK]
Trades 11153-13938	79.1%	\$3056.45	+95% [OK]

SOVEREIGN NARRATIVE ADVISORY

Cognitive Strategy Proposal & Adaptive Intelligence Logs

1. Executive Telemetry Critique

[SYSTEM TELEMETRY SUMMARY]

Total Trades Checked : 13,938

Win Rate Accuracy : 82.00% (11,436 W / 2,502 L)

Gross Cumulative PnL : \$20,159.70

Mean PnL per Trade : \$1.45

Profit Factor : 11.13

Max Peak Drawdown : 12.90%

The Illusion of Alpha: At first glance, a \$11.13\$ Profit Factor coupled with an \$82.0\%\$ win rate indicates a highly optimized machine. However, the micro-yield of \$1.45\$ per trade reveals a critical structural flaw. The engine is highly vulnerable to transaction costs, slippage, and latency arbitrage.

The Tail-Risk Catastrophe (Systemic Exploit): The stochastic configuration contains a catastrophic parameter anomaly: `atrStopMultiplier` is set to \$9.219838168703331 \times 10^{30}\$. This mathematically infinity-equivalent stop-loss means the system does not take risk-defined exits.

Drawdown Imbalance: The 12.9% maximum drawdown is highly disproportionate to the tiny average trade size (\$1.45). This confirms the engine is holding toxic, underwater positions indefinitely until they mean-revert, exposing the capital base to catastrophic ruin (the "Pennies/Steamroller" profile).

2. Regime Suitability & Behavioral Patterns

Ideal Regime: Low-volatility, highly mean-reverting, range-bound markets. The system thrives during consolidation phases where price action oscillates predictably between the \$2.25\sigma\$ Bollinger Bands.

Failed Regime (The Liquidation Zone): Strong, momentum-driven breakout trends (characterized by ADX > 25).

Behavioral Pathology: Because the ATR stop-loss is functionally disabled, the system absorbs unlimited adverse excursion. In a sustained trending regime (e.g., a macro liquidity event or system-wide de-risking), the system will run out of margin, leading to a cascade of margin calls and total account wipeout. The 82.0% win rate is artificially sustained by refusing to realize losses.

3. Calibrated Recommendations for Indicator Boundaries

To transition this strategy from a dangerous "no-stop grid" profile to an institutionally viable, risk-adjusted portfolio engine, implement the following urgent modifications:

```json

```
{
 "rsiOversoldThreshold": 30,
```

```

"rsiOverboughtThreshold": 70,
"bbPeriod": 20,
"bbStd": 2.50,
"maxTicksInTrade": 60,
"minConfluenceScore": 4,
"atrStopMultiplier": 2.75,
"regimeAdxThreshold": 20
}
```

```

Calibration Rationale:

1. ****Stop-Loss Normalization (`atrStopMultiplier` -> `2.75`):**** Immediately replace the 10^{30} value with a hard $2.75 \times \text{ATR}$ stop-loss. This will lower the absolute win rate to an estimated 62–65%, but it will permanently cap tail-risk and preserve the capital base.
2. ****Bollinger Band Expansion (`bbStd` -> `2.50`):**** Increase the standard deviation constraint from `2.25` to `2.50`. This reduces trade frequency but ensures entries occur only at statistical extremes, enhancing the quality of mean-reversion setups.
3. ****Strict Momentum Blocking (`regimeAdxThreshold` -> `20`):**** Lower the ADX threshold from `25` to `20`. Mean-reversion operations must be strictly terminated during early-stage trend development.
4. ****Temporal Exposure Limitation (`maxTicksInTrade` -> `60`):**** Halve the maximum trade duration from `120` to `60` ticks. If a mean-reversion trade does not resolve quickly, capital efficiency decreases, and the probability of trending regime shift increases.
5. ****RSI Window Narrowing (`rsiOversoldThreshold` / `rsiOverboughtThreshold` -> `30` / `70`):**** Standardize boundaries to align with the stricter Bollinger Band settings, ensuring high-probability entry confluence.

SOVEREIGN RISKS SENTINEL SYSTEMS

Neural Strategy Gating & Machine Learning Co-pilot • Active Security State